

## **Fraud Monitoring**

Credio monitors merchant fraud activity on a monthly basis to detect patterns that exceed Mastercard's acceptable fraud-to-sales thresholds. A merchant whose rolling monthly fraud-to-sales ratio meets or exceeds 1.5% (0.015) and whose fraud count reaches at least 100 transactions in that same month triggers mandatory escalation under this policy.

### **When this policy applies**

This policy applies to all merchants processed through Credio's acquiring platform where Mastercard is the applicable card network. It governs both card-present and card-not-present transaction streams.

### **Required actions**

1. Compute the merchant's rolling fraud-to-sales ratio each calendar month.
2. If the ratio meets or exceeds the threshold AND the minimum count is reached, escalate the merchant account to human review immediately.
3. Notify the acquiring compliance officer and document the case ID with supporting transaction data.
4. Track case progress until the account returns to threshold compliance or is terminated.

Source authority: Mastercard SPME §3.7.